

Eclat Textile (1476 TT)

 Target price: **TWD540.00** (from TWD518.00)

 Share price (17 Mar): **TWD371.00** | Up/downside: **+45.6%**

 5 4 3 2 **1**
 **Buy**
(unchanged)

Bright 2026 outlook

- 4Q25 net profit beat our and consensus estimates by 4-10%
- New clients and products to be key earnings drivers in 2026
- Reaffirming our Buy (1) rating; raising 12M TP to TWD540

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What's new: Eclat held an investor conference on 17 March to discuss its 4Q25 results (see [our Memo](#), 5 March) and its outlook for 2026. We reaffirm our Buy (1) rating as we believe Eclat is in a solid position for market-share gain and to benefit from a trend of functionality upgrades designed to navigate macroeconomic uncertainty.

What's the impact: Key highlights of 4Q25 results (details on p2).

4Q25 gross margin came in at 30.2%, up from 28.7% in 3Q25 and 29.8% in 4Q24, beating our previous (28.8%) and the consensus (28.9%) estimates, thanks to new products and a favourable currency environment. Eclat is confident about maintaining its gross margin target of 28-32% in 2026 and aims for monthly revenue of at least TWD3bn in 2026. Besides, it is considering raising its 2026 gross margin guidance by mid-year due to the intact revenue momentum from its new products (ie, wellness category, which should become a trend in the next 3-5 years). Eclat may also discuss the raw material price hike trend with clients. Eclat believes its production flexibility and new product development capability will underpin its earnings visibility despite macro uncertainty.

Intact 2026 outlook. Management's order visibility remains at 6 months and is so far on track despite near-term uncertainty caused by the Middle East conflict, oil price hike and inflation. Eclat sees potential order share gain likely by the end of 2Q26 or 3Q26 from Middle East suppliers as Eclat continues discussions with clients. For 2026, Eclat expects the fabric segment ASP to grow by a low-single-digit rate YoY (vs. flat YoY in 2025) and the garment segment ASP to grow by a high-single-to-low-double-digit rate YoY (vs. up by a mid-single-digit rate YoY in 2025). New clients' revenue contribution was 10% for 2M26; c.15% of the revenue was from new products. Besides, Eclat expects to onboard 3 new clients in 2026 and is working on potential new clients in 2027. We raise our 2026-27E EPS by 2-3%, mainly on our more aggressive gross margin assumptions.

What we recommend: We reaffirm our Buy (1) rating and raise our 12-month TP to TWD540 (from TWD518), still based on the target PER of 22x (close to the mid-point of its past-5-year range of 15-27x [average PER of 21x]) and based on a 1-year forward EPS forecast. Key downside risks: slower-than-expected gross margin expansion; lower-than-expected demand; and high inflation and tariff uncertainty.

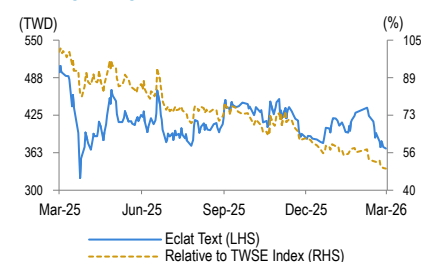
How we differ: Our 2027E EPS is 2% higher than the consensus, likely as we are slightly more aggressive on Eclat's gross margin.

Forecast revisions (%)

Year to 31 Dec	25E	26E	27E
Revenue change	(0.2)	(0.2)	(2.0)
Net profit change	2.6	1.5	2.6
Core EPS (FD) change	2.5	1.5	2.6

Source: Daiwa forecasts

Share price performance



12-month range	320.50-507.00
Market cap (USDbn)	3.18
3m avg daily turnover (USDm)	14.65
Shares outstanding (m)	274
Major shareholder	Zhen-Hai Hong (Chairman) (3.3%)

Financial summary (TWD)

Year to 31 Dec	25E	26E	27E
Revenue (m)	37,990	41,885	45,353
Operating profit (m)	7,092	8,084	9,297
Net profit (m)	5,515	6,537	7,502
Core EPS (fully-diluted)	20.090	23.813	27.328
EPS change (%)	(17.0)	18.5	14.8
Daiwa vs Cons. EPS (%)	0.0	0.1	1.9
PER (x)	18.5	15.6	13.6
Dividend yield (%)	4.0	4.5	5.2
DPS	15.0	16.7	19.1
PBR (x)	3.4	3.2	2.9
EV/EBITDA (x)	11.8	10.4	8.9
ROE (%)	18.8	21.1	22.3

Source: FactSet, Daiwa forecasts

Eclat: revenue and earnings forecasts revisions

(TWDm)	2025E			2026E			2027E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Fabric revenue	12,770	12,877	-0.8%	13,286	14,197	-6.4%	13,823	15,652	-11.7%
Garment revenue	25,220	25,197	0.1%	28,599	27,780	3.0%	31,531	30,627	3.0%
Sales	37,990	38,074	-0.2%	41,885	41,977	-0.2%	45,353	46,279	-2.0%
Gross profit	10,882	10,775	1.0%	12,147	12,047	0.8%	13,606	13,421	1.4%
Gross profit margin	28.6%	28.3%	0.3pp	29.0%	28.7%	0.3pp	30.0%	29.0%	1pp
Operating profit	7,092	7,044	0.7%	8,084	7,976	1.4%	9,297	9,071	2.5%
Operating profit margin	18.7%	18.5%	0.2pp	19.3%	19.0%	0.3pp	20.5%	19.6%	0.9pp
Net profit	5,515	5,377	2.6%	6,537	6,438	1.5%	7,502	7,309	2.6%
Net profit margin	14.5%	14.1%	0.4pp	15.6%	15.3%	0.3pp	16.5%	15.8%	0.7pp
EPS (TWD)	20.09	19.60	2.5%	23.81	23.47	1.5%	27.33	26.64	2.6%

Source: Daiwa forecasts

Eclat: 4Q25 results vs. Daiwa and Bloomberg forecasts

(TWDm)	Eclat's 4Q25 results	Daiwa previous forecast	Difference	Bloomberg consensus	Difference
Revenue	9,264	9,348	-0.9%	9,578	-3.3%
Gross profit	2,796	2,690	4.0%	2,765	1.1%
Operating profit	1,775	1,727	2.8%	1,816	-2.2%
Profit before tax	1,960	1,758	11.5%	1,890	3.7%
Net profit	1,582	1,444	9.6%	1,514	4.5%
Basic EPS (TWD)	5.77	5.26	9.6%	5.55	3.9%

Margin

Gross margin	30.2%	28.8%	1.4pp	28.9%	1.3pp
Operating margin	19.2%	18.5%	0.7pp	19.0%	0.2pp
Pre-tax margin	21.2%	18.8%	2.4pp	19.7%	1.4pp
Net margin	17.1%	15.4%	1.6pp	15.8%	1.3pp

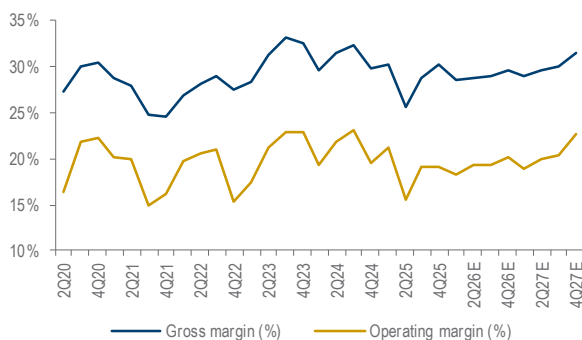
Source: Company, Bloomberg, Daiwa forecasts

Eclat: quarterly P&L

(TWDm)	2025E				2026E				2025E	2026E	2027E
	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E			
Revenue	9,375	9,718	9,633	9,264	9,122	10,900	11,000	10,864	37,990	41,885	45,353
Gross profit	2,831	2,493	2,761	2,796	2,600	3,139	3,190	3,218	10,882	12,147	13,606
Operating profit	1,975	1,501	1,840	1,775	1,665	2,109	2,120	2,190	7,092	8,084	9,297
Pre-tax profit	2,087	830	2,089	1,960	1,699	2,144	2,155	2,225	6,966	8,223	9,436
Net profit	1,679	601	1,652	1,582	1,367	1,554	1,705	1,911	5,515	6,537	7,502
Basic EPS (TWD)	6.12	2.19	6.02	5.77	4.98	5.66	6.21	6.97	20.10	23.83	27.34
Margin											
Gross margin	30.2%	25.7%	28.7%	30.2%	28.5%	28.8%	29.0%	29.6%	28.6%	29.0%	30.0%
Operating margin	21.1%	15.4%	19.1%	19.2%	18.2%	19.4%	19.3%	20.2%	18.7%	19.3%	20.5%
Pre-tax margin	22.3%	8.5%	21.7%	21.2%	18.6%	19.7%	19.6%	20.5%	18.3%	19.6%	20.8%
Net margin	17.9%	6.2%	17.2%	17.1%	15.0%	14.3%	15.5%	17.6%	14.5%	15.6%	16.5%
YoY											
Revenue	22.8%	1.3%	-4.0%	-3.2%	-2.7%	12.2%	14.2%	17.3%	3.2%	10.3%	8.3%
Gross profit	26.0%	-17.6%	-14.8%	-2.1%	-8.2%	25.9%	15.5%	15.1%	-4.3%	11.6%	12.0%
Operating profit	33.8%	-28.5%	-20.3%	-5.1%	-15.7%	40.5%	15.2%	23.4%	-8.6%	14.0%	15.0%
Pre-tax profit	17.4%	-62.8%	-5.7%	-7.9%	-18.6%	158.4%	3.2%	13.5%	-16.6%	18.0%	14.8%
Net profit	17.8%	-65.3%	-6.9%	-7.3%	-18.6%	158.4%	3.2%	20.8%	-17.0%	18.5%	14.8%
QoQ											
Revenue	-2.1%	3.7%	-0.9%	-3.8%	-1.5%	19.5%	0.9%	-1.2%			
Gross profit	-0.9%	-12.0%	10.8%	1.3%	-7.0%	20.8%	1.6%	0.9%			
Operating profit	5.6%	-24.0%	22.6%	-3.5%	-6.2%	26.7%	0.5%	3.3%			
Pre-tax profit	-2.0%	-60.3%	151.8%	-6.2%	-13.3%	26.2%	0.5%	3.2%			
Net profit	-1.6%	-64.2%	174.9%	-4.3%	-13.6%	13.6%	9.7%	12.1%			

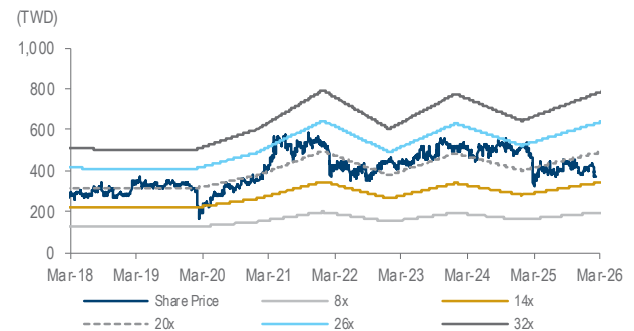
Source: Company, Daiwa forecasts

Eclat: margin trend



Source: Company, Daiwa forecasts

Eclat: 1-year forward PER



Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2020	2021	2022	2023	2024	2025E	2026E	2027E
Garment revenue growth (YoY %)	3.0	16.9	5.2	(22.6)	23.9	6.2	13.4	10.3
Fabric revenue growth (YoY %)	(6.3)	52.9	21.8	(22.4)	12.5	(2.3)	4.0	4.0
Gross margin (%)	28.7	26.4	27.8	31.4	30.9	28.6	29.0	30.0

Profit and loss (TWDm)

Year to 31 Dec	2020	2021	2022	2023	2024	2025E	2026E	2027E
Garment revenue	20,144	23,552	24,774	19,174	23,755	25,220	28,599	31,531
Fabric revenue	8,032	12,284	14,962	11,617	13,073	12,770	13,286	13,823
Other Revenue	0	81	0	0	0	0	0	0
Total Revenue	28,175	35,917	39,736	30,790	36,828	37,990	41,885	45,353
Other income	0	0	0	0	0	0	0	0
COGS	(20,097)	(26,426)	(28,671)	(21,111)	(25,460)	(27,108)	(29,738)	(31,747)
SG&A	(2,435)	(2,930)	(3,168)	(2,977)	(3,442)	(3,614)	(3,853)	(4,082)
Other op.expenses	(147)	(163)	(160)	(153)	(171)	(176)	(209)	(227)
Operating profit	5,497	6,398	7,737	6,549	7,755	7,092	8,084	9,297
Net-interest inc./(exp.)	(4)	(2)	(23)	(2)	38	99	99	99
Assoc/forex/extraord./others	(169)	(11)	826	128	557	(225)	40	40
Pre-tax profit	5,324	6,386	8,540	6,676	8,351	6,966	8,223	9,436
Tax	(1,069)	(1,237)	(1,750)	(1,499)	(1,710)	(1,451)	(1,686)	(1,934)
Min. int./pref. div./others	(0)	0	0	0	0	0	0	0
Net profit (reported)	4,255	5,149	6,790	5,176	6,641	5,515	6,537	7,502
Net profit (adjusted)	4,255	5,149	6,790	5,176	6,641	5,515	6,537	7,502
EPS (reported)(TWD)	15.507	18.765	24.749	18.867	24.204	20.101	23.826	27.342
EPS (adjusted)(TWD)	15.507	18.765	24.749	18.867	24.204	20.101	23.826	27.342
EPS (adjusted fully-diluted)(TWD)	15.506	18.764	24.747	18.866	24.203	20.090	23.813	27.328
DPS (TWD)	11.000	12.000	17.000	13.500	17.000	15.000	16.678	19.140
EBIT	5,497	6,398	7,737	6,549	7,755	7,092	8,084	9,297
EBITDA	6,199	7,031	8,531	7,430	8,642	8,462	9,584	10,928

Cash flow (TWDm)

Year to 31 Dec	2020	2021	2022	2023	2024	2025E	2026E	2027E
Profit before tax	5,324	6,386	8,540	6,676	8,351	6,966	8,223	9,436
Depreciation and amortisation	703	632	794	881	886	1,371	1,500	1,630
Tax paid	(1,069)	(1,237)	(1,750)	(1,499)	(1,710)	(1,451)	(1,686)	(1,934)
Change in working capital	(2,005)	(3,020)	3,828	(708)	(2,365)	147	(1,091)	(602)
Other operational CF items	946	16	905	(686)	(442)	0	0	0
Cash flow from operations	3,898	2,778	12,318	4,664	4,720	7,032	6,946	8,530
Capex	(1,574)	(2,490)	(1,796)	(303)	(484)	(2,000)	(2,480)	(2,000)
Net (acquisitions)/disposals	11	5	0	46	93	0	0	0
Other investing CF items	(16)	(13)	(3,011)	(1,579)	(401)	0	0	0
Cash flow from investing	(1,579)	(2,498)	(4,807)	(1,836)	(792)	(2,000)	(2,480)	(2,000)
Change in debt	(230)	4	431	(1,154)	1,181	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(3,018)	(3,018)	(3,292)	(4,664)	(3,704)	(4,664)	(4,116)	(4,576)
Other financing CF items	545	525	(393)	(233)	(586)	0	0	0
Cash flow from financing	(2,703)	(2,489)	(3,254)	(6,052)	(3,109)	(4,664)	(4,116)	(4,576)
Forex effect/others	(36)	(54)	5	15	(15)	0	0	0
Change in cash	(420)	(2,264)	4,262	(3,209)	804	368	351	1,954
Free cash flow	2,324	287	10,522	4,361	4,236	5,032	4,466	6,530

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2020	2021	2022	2023	2024	2025E	2026E	2027E
Cash & short-term investment	4,024	1,760	6,022	2,814	3,618	3,986	4,337	6,291
Inventory	5,202	8,276	4,625	4,402	5,522	5,766	6,388	6,786
Accounts receivable	5,365	5,209	4,087	4,967	6,638	6,488	7,352	7,853
Other current assets	266	578	3,621	5,215	5,730	5,729	5,729	5,729
Total current assets	14,858	15,823	18,355	17,398	21,508	21,970	23,806	26,660
Fixed assets	10,384	12,065	13,627	12,288	12,994	13,623	14,603	14,972
Goodwill & intangibles	23	19	19	25	27	27	27	27
Other non-current assets	1,182	1,372	1,362	2,122	1,337	1,337	1,337	1,337
Total assets	26,446	29,279	33,364	31,833	35,865	36,956	39,772	42,995
Short-term debt	1,343	1,347	1,778	624	1,804	1,804	1,804	1,804
Accounts payable	3,991	4,144	3,526	3,137	3,793	4,034	4,428	4,725
Other current liabilities	1,294	1,536	2,274	2,320	1,169	1,169	1,169	1,169
Total current liabilities	6,628	7,027	7,577	6,081	6,767	7,007	7,402	7,699
Long-term debt	580	1,037	563	0	0	0	0	0
Other non-current liabilities	71	66	81	81	177	177	177	177
Total liabilities	7,278	8,129	8,222	6,162	6,943	7,184	7,578	7,876
Share capital	2,744	2,744	2,744	2,744	2,744	2,744	2,744	2,744
Reserves/R.E./others	16,424	18,406	22,398	22,927	26,178	27,029	29,450	32,376
Shareholders' equity	19,168	21,149	25,142	25,671	28,922	29,772	32,194	35,120
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	26,446	29,279	33,364	31,833	35,865	36,956	39,772	42,995
EV	99,689	102,414	98,109	99,600	99,976	99,609	99,258	97,303
Net debt/(cash)	(2,101)	624	(3,681)	(2,190)	(1,814)	(2,182)	(2,533)	(4,487)
BVPS (TWD)	69.863	77.084	91.636	93.563	105.412	108.513	117.338	128.003

Key ratios (%)

Year to 31 Dec	2020	2021	2022	2023	2024	2025E	2026E	2027E
Sales (YoY)	0.2	27.5	10.6	(22.5)	19.6	3.2	10.3	8.3
EBITDA (YoY)	(1.8)	13.4	21.3	(12.9)	16.3	(2.1)	13.3	14.0
Operating profit (YoY)	0.5	16.4	20.9	(15.4)	18.4	(8.6)	14.0	15.0
Net profit (YoY)	(1.0)	21.0	31.9	(23.8)	28.3	(17.0)	18.5	14.8
Core EPS (fully-diluted) (YoY)	(1.0)	21.0	31.9	(23.8)	28.3	(17.0)	18.5	14.8
Gross-profit margin	28.7	26.4	27.8	31.4	30.9	28.6	29.0	30.0
EBITDA margin	22.0	19.6	21.5	24.1	23.5	22.3	22.9	24.1
Operating-profit margin	19.5	17.8	19.5	21.3	21.1	18.7	19.3	20.5
Net profit margin	15.1	14.3	17.1	16.8	18.0	14.5	15.6	16.5
ROAE	22.8	25.5	29.3	20.4	24.3	18.8	21.1	22.3
ROAA	17.1	18.5	21.7	15.9	19.6	15.1	17.0	18.1
ROCE	27.0	28.7	30.3	24.4	27.2	22.8	24.7	26.2
ROIC	27.2	26.6	28.5	22.6	24.4	20.5	22.5	24.5
Net debt to equity	n.a.	2.9	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	20.1	19.4	20.5	22.5	20.5	20.8	20.5	20.5
Accounts receivable (days)	55.5	53.7	42.7	53.7	57.5	63.1	60.3	61.2
Current ratio (x)	2.2	2.3	2.4	2.9	3.2	3.1	3.2	3.5
Net interest cover (x)	1,401.1	4,206.8	337.2	3,882.0	n.a.	n.a.	n.a.	n.a.
Net dividend payout	70.9	63.9	68.7	71.6	70.2	74.6	70.0	70.0
Free cash flow yield	2.3	0.3	10.3	4.3	4.2	4.9	4.4	6.4

Source: FactSet, Daiwa forecasts

Company profile

Eclat Textile (Eclat) is a technology-based Taiwanese textiles company that supplies functional and flexible knitwear fabrics, as well as sports apparel products, to a diversified client base. Its major clients include Nike, Gap (Athleta), Under Armour and Lululemon.

ESG analysis

ESG risks

Risks	Management	Analyst comments	
G	Executive/board quality	1	The CEO and Chairman of Eclat are not the same individual. The Chairman leads the board and the 2 independent CEOs manage its fabric and garment divisions, respectively. The board includes 4 independent directors and 1 female member. Moreover, 3 of the board members (including the Chairman) are founding members, with more than 40 years of experience in Eclat's business, indicating strong leadership and management capability.
	Capital management	1	Eclat has maintained its payout ratio at 64-72% over 2019-24. As it is expanding its capacity in Indonesia, we believe the current payout level is reasonable.
	Related party & transaction	1	Eclat's garment division sources partially from its fabric division, with an internal transfer ratio of 40%. We believe this is a strong sign to its clients about the company's competitive advantages in production cost and quality.
S	Supply chain management	1	Eclat adheres to the ZDHC regulation (MRSL) and has adopted the Higg Index to evaluate its sustainability. It is also a partner of the Bluesign system. Eclat has also set up its ERP system, which could save 50k+ hours per year. To lower supplier-related risks, it adopts a decentralised procurement strategy that conducts collaborative R&D with suppliers. Its capacity allocation has expanded to different regions in the past few years, including Taiwan, Vietnam, Cambodia and Indonesia. We believe the risk-mitigation measures from the decentralised procurement strategy can offset the costs incurred from managing suppliers from various locations.
E	Materials sourcing & efficiency	1	As one of the few textile companies that have R&D capability to develop innovative products, Eclat has invested substantially in its environment-friendly products on the back of the ESG trend in the fashion industry. Also, Eclat has been increasing its recycled yarn percentage every year (2022: 17.23%) and is dedicated to improving its local-to-local sourcing ratio (2022: 85.43% in Taiwan; 45.81% in Vietnam), which saves transportation costs and energy, and lowers carbon emissions.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 19 May 2025

Source: Daiwa, Company

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Rating	Percentage of total
Buy*	73.39%
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Source: Daiwa

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